

SOP_01_account_opening_kyc

MERIDIAN TRUST BANK

STANDARD OPERATING PROCEDURE — ACCOUNT OPENING & KYC

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Owns Rules	BNK-REG-RULE-001, BNK-REG-RULE-002, BNK-REG-RULE-006, BNK-SEC-RULE-002

1. Purpose

Standardize the opening of new personal and business deposit accounts (checking, savings, money market, CD) so that every account meets the Customer Identification Program (CIP) requirements of the USA PATRIOT Act, the Beneficial Ownership Rule, OFAC screening, and the Truth-in-Savings (Reg DD) disclosure regime — before any deposit is accepted.

2. Pre-Conditions

- The caller is verifiable as the prospective account holder (or an authorized signer/control person for a business account).
- The banker has access to the Customer Identification Program (CIP) workflow in the system.
- The current rate sheet and Truth-in-Savings disclosure are loaded.

3. Procedure

Step 1 — Greeting & Call Setup (BNK-CC-RULE-001, -002, -003) - Greet using the verbatim opener. - State recording notification if IVR did not. - Acknowledge the customer's stated reason for the call.

Step 2 — Initial Identifier Collection (BNK-REG-RULE-001)

Collect ALL of the following before any account-opening workflow can advance:

1. Full legal name (as on government-issued ID)
2. Date of birth
3. Physical residential address (NOT a PO Box for personal accounts)
4. SSN or Tax ID

5. Government-issued ID details (type, number, issuing state, expiration)

For business accounts, additionally collect (BNK-REG-RULE-002): 6. Business legal name + DBA if any 7. EIN 8. Business formation documents (state of formation, entity type) 9. Beneficial owners (any individual $\geq 25\%$ ownership) 10. Control person (named senior officer)

Step 3 — Privacy & Data-Use Statement (BNK-SEC-RULE-002)

Read verbatim:

“Your information is used solely to provide and service your accounts, in accordance with our Privacy Notice and applicable law. You may receive a copy of our Privacy Notice at any time on request.”

Step 4 — OFAC Screening (BNK-REG-RULE-001)

Initiate the OFAC SDN screen for all named parties. If a hit returns, do NOT proceed — escalate to the BSA Officer per BNK-REG-RULE-012 and tell the customer the application is “under additional review.” Do not disclose the reason.

Step 5 — Truth-in-Savings Disclosure (BNK-REG-RULE-006)

For deposit accounts, disclose ALL of the following from the current rate sheet (no quoting from memory):

- Annual Percentage Yield (APY)
- Minimum balance to obtain APY
- Compounding frequency
- Any monthly maintenance fee and how to avoid it
- Any other fees that may be imposed
- Variable-rate disclosure if applicable

Confirm the customer acknowledges receipt of the disclosure before funding.

Step 6 — Funding & Account Creation

Only AFTER Steps 2-5 are complete: accept the initial funding (transfer, check, ACH, cash) and finalize the account. The system will not advance without all CIP fields populated and OFAC cleared.

Step 7 — Closing (BNK-CC-RULE-020, -021, -022, -023)

- Explain the root context (what was opened, what to expect: debit card mailing, online banking setup).
- Resolution summary: Issue (wanted to open account) + Fix (account opened, ID 7-XXXX) + Follow-Up Actions (debit card arrives in 5-7 business days; statement starts at next cycle).
- “Is there anything else I can help you with today?”
- Provide the case reference number and offer the post-call survey.

4. Common Failure Modes (QA Watch List)

- Accepting funding before CIP is complete → BNK-REG-RULE-001 CRITICAL
- Quoting an APY from memory instead of the rate sheet → BNK-REG-RULE-006 violation

- Omitting the Reg DD disclosure acknowledgement → BNK-REG-RULE-006 violation
- Reading back the full SSN or full account number to the customer → BNK-SEC-RULE-003/006 CRITICAL

5. Escalation

- OFAC SDN hit → BSA Officer ticket, customer told “under additional review” (BNK-REG-RULE-012)
- Suspected fraud at opening (synthetic ID, document mismatch) → Fraud Operations ticket
- Customer attempts to misrepresent income/intent on a linked loan application → BNK-REG-RULE-005 violation, terminate the application